CFA Level I Mock Exam 5.2 - Questions

Choose one answer for each question.

Question 1

Two years ago, a homeowner took out a $1 million home mortgage from a bank. The current principal on the loan is $750,000, and the homeowner has defaulted on the loan. Following foreclosure proceedings, the bank sells the property for $600,000 and is only entitled to use these funds to satisfy the loan obligation. The homeowner most likely had a:

A. bullet loan.

B. recourse loan.

C. non-recourse loan.

Question 2

Valuing private equity investments using estimated prices rather than market prices most likely causes an:

A. overestimation of both return volatility and the correlation of returns with traditional asset classes.

B. underestimation of both return volatility and the correlation of returns with traditional asset classes.

C. underestimation of return volatility and overestimation of the correlation of returns with traditional asset classes.

Question 3

A greenfield infrastructure investment is best described as an asset that has:

A. yet to be constructed.

B. already been constructed.

C. reached the end of its useful life.

Question 4

Which of the following statements is most accurate? US commercial paper typically:

A. requires the issuer to pledge collateral.

B. requires the issuer to have a backup line of credit.

C. has a maturity ranging from a few days up to two years.

Question 5

A limit order is an example of a(n):

A. validity instruction.

B. clearing instruction.

C. execution instruction.

Question 6

Direct ownership of commercial real estate most likely:

A. provides greater liquidity than a real estate investment trust.

B. requires a lower initial investment than a real estate investment trust.

C. offers greater investor control over underlying properties than a real estate investment trust.

Question 7

A net investment hedge occurs when a derivative is used to:

A. offset the fluctuation in the fair value of an asset or liability.

B. absorb the variable cash flow of a floating rate asset or liability.

C. offset the exchange rate risk of the equity of a foreign operation.

Question 8

Consider bonds that have the same yield-to-maturity and maturity. The bond with the greatest reinvestment risk is most likely the one selling at:

A. a discount.

B. par.

C. a premium.

Question 9

Which of the following is most likely considered an investor constraint in an investment policy statement?

A. Time horizon

B. Risk tolerance

C. Return requirement

Question 10

A positive duration gap indicates that a bond investor is currently:

A. at risk of lower interest rates.

B. at risk of higher interest rates.

C. hedged against interest rate risk.

Question 11

Both equity and fixed-income indexes can be categorized according to the:

A. currency of payments.

B. issuer's economic sector.

C. degree of inflation protection.

Question 12

Real estate is best classified as a:

A. commodity.

B. physical asset.

C. financial asset.

Question 13

An analyst gathers the following information to evaluate the effect of dividends and leverage on future growth:

	Scenario 1	Scenario 2
Dividend payout ratio	60%	40%
Financial leverage	3.0	2.5

If return on assets is the same for each scenario, the sustainable growth rate is:

A. higher under Scenario 1.

B. higher under Scenario 2.

C. the same under both Scenario 1 and Scenario 2.

Question 14

An analyst gathers the following data (in INR millions) for a company located in India:

Market value of debt	10.0
Market value of preferred stock	5.0
Cash and short-term investments	4.5
Earnings before interest, taxes, depreciation, and amortization (EBITDA)	15.0

Assuming an enterprise value multiple of 3.2, the company's market capitalization (in INR millions) is closest to:

A. 28.5.

B. 33.0.

C. 37.5.

Question 15

Financial forecasting using historical base rates and convergence is best suited for companies that are:

A. in highly cyclical industries.

B. in well-established industries.

C. industry leaders by a wide margin.

Question 16

A bond has a modified duration of 7.5 years and an annual convexity of 280. If yields decrease by 60 basis points, the percentage price change is closest to:

A. 4.00%.

B. 5.00%.

C. 5.51%.

Question 17

An analyst observes the fee structure and performance of a hedge fund with $100 million assets under management at the beginning of the year:

Annual management fee	2%
Incentive fee	20%
Hard hurdle rate	3%

The annual management fee is based on the year-end valuation, and the incentive fee is calculated net of the management fee. If the fund return before fees is 10% at year end, the total annual fee earned by the fund manager is closest to:

A. $3.2 million.

B. $3.6 million.

C. $3.8 million.

Question 18

Which of the following measures is least appropriate for evaluating the risk of a currency option?

A. Beta

B. Vega

C. Delta

Question 19

Compared to a European waterfall, an American waterfall is:

A. less advantageous to the general partner.

B. equally advantageous to the general partner.

C. more advantageous to the general partner.

Question 20

For a given equity index, the long-term total return of the index is most likely greater than the price return:

A. for any series of price returns.

B. only when the price returns are less than zero.

C. only when the price returns are equal to or greater than zero.

Question 21

With respect to a client's IPS, which of the following measures is most likely used when stating a relative risk objective?

A. Value at risk

B. Tracking risk

C. Standard deviation of returns

Question 22

Hedge funds are most likely characterized by:

A. significant investment restrictions.

B. a high correlation of returns with investment-grade bonds.

C. performance relative to a traditional portfolio that may be hard to gauge.

Question 23

Insurance on a portfolio of risky assets is most likely:

A. negatively correlated with the portfolio's assets.

B. uncorrelated with the portfolio's assets.

C. positively correlated with the portfolio's assets.

Question 24

When forming asset classes for a strategic asset allocation, the defined asset classes should:

A. approximate the relevant investable universe.

B. have high pairwise correlations between them.

C. contain negatively correlated assets within each asset class.

Question 25

An analyst gathers the following information about a company's common stock:

Dividend per share – Year 1	$2.00
Dividend per share – Year 2	$2.10
Annual dividend per share – Year 3 and beyond	$2.21

If the required rate of return is 10%, the intrinsic value per share is closest to:

A. $21.82.

B. $22.10.

C. $27.31.

Question 26

A call option with an exercise price of $38 was bought for $3. The price of the underlying increases from $42 to $47. At expiration, the payoff to the call buyer is equal to:

A. $4.

B. $6.

C. $9.

Question 27

According to capital market theory, the only type of risk that is priced is:

A. systematic risk.

B. diversifiable risk.

C. idiosyncratic risk.

Question 28

An increase in which of the following most likely increases the time value of a European put option?

A. The volatility of the underlying only

B. The current market interest rate only

C. Both the volatility of the underlying and the current market interest rate

Question 29

An investor gathers the following information:

Risk-free rate per annum	1.50%
Exercise price	$9.75
9-month call option price	$3.25

According to put–call–forward parity, the price of a 9-month fiduciary call is closest to:

A. $12.89.

B. $13.00.

C. $13.11.

Question 30

An investor gathers the following information about a European call option with 9 months until expiration: Current stock price $112

Current stock price	$112
Strike price of option	$115
Current call option price	$4
1-year risk free rate	2.5%

According to put–call parity, the current price of a put option with the same maturity and strike price is closest to:

A. $3.11.

B. $4.20.

C. $4.89.

Question 31

An analyst gathers the following information about spot rates: Time Period Spot Rate 1 year 2% 2 year 3% 3 year 4% Using spot rates, the price of a 3-year, 6% annual coupon bond is closest to:

A. 105.38.

B. 105.55.

C. 105.77.

Question 32

If yields decrease by 0.75%, the convexity adjustment for a bond with an annual convexity of 400 is:

A. 0.01125.

B. 0.02250.

C. 1.50000.

Question 33

Compared to a defined benefit plan’s investment time horizon, a bank’s investment time horizon is most likely:

A. shorter.

B. the same.

C. longer.

Question 34

Management fees for private equity funds are most likely based on:

A. invested capital.

B. committed capital

C. assets under management.

Question 35

A portfolio manager analyzes a market and discovers that it is not possible to achieve consistent and superior risk-adjusted returns, net of all expenses. This market is most likely characterized by:

A. persistent anomalies.

B. informational efficiency.

C. restrictions on short selling.

Question 36

Which of the following statements about the use of derivative instruments is most accurate?

A. Small exposures to an underlying can be created with a large cash outlay

B. Financial market exposure associated with commercial transactions can be offset by issuers

C. Higher transaction costs are typically incurred compared to underlying spot market transactions

Question 37

Which of the following cognitive errors is best classified as a belief perseverance bias?

A. Availability bias

B. Confirmation bias

C. Mental accounting bias

Question 38

The redemption value of a US Treasury Inflation-Protected Securities (TIPS) issue at maturity is most likely:

A. equal to the initial par value.

B. the greater of the inflation-adjusted principal or initial par value.

C. above or below the initial par value depending on actual inflation during the term.

Question 39

Tactical asset allocation is best described as adding value by:

A. subdividing portfolio risk over the sources of investment return.

B. deliberately deviating from policy exposures to systematic risk factors.

C. combining long-term capital market expectations with investor objectives and constraints.

Question 40

In a one-period binomial model, the risk-neutral probabilities of upward and downward price movements of an underlying asset are determined by:

A. the risk-free rate.

B. investors' risk aversion.

C. the probabilities of the underlying price moving up and down.

Question 41

An investor buys a call for $24.70 that has a strike price of $650. If the value at expiration for this call is $47.60, the price of the underlying at expiration is closest to:

A. $602.40.

B. $672.90.

C. $697.60.

Question 42

An annual-pay bond with a £1,000 face value has a coupon rate of 4% and matures in three years. If the yield to maturity is 3%, the current value of the bond is closest to:

A. £972.

B. £1,028.

C. £1,142.

Question 43

With respect to the absolute priority of claims in bankruptcy, which of the following most likely has the highest seniority ranking?

A. Third lien debt

B. Subordinated debt

C. Senior unsecured debt

Question 44

Compared with its market-value-weighted counterpart, a fundamental-weighted index is least likely to have a:

A. value tilt.

B. contrarian effect.

C. momentum effect.

Question 45

In contrast to risk tolerance, risk budgeting focuses more on:

A. how risk is taken.

B. the appetite for risk.

C. what is and is not acceptable risk.

Question 46

Which of the following statements is most accurate? Cryptocurrencies:

A. exhibit low volatility.

B. have no limits on the total amount of currency that may be issued.

C. allow transactions between parties without the need for an intermediary.

Question 47

The duration statistic that best measures the interest rate risk of a bond that does not have a well-defined internal rate of return is:

A. effective duration.

B. modified duration.

C. Macaulay duration.

Question 48

An analyst gathers the following information about three well-diversified equity portfolios:

Portfolio	Mean return	Beta
1	9.2%	1.2
2	12.4%	1.4
3	15.0%	2.3

Given a risk-free rate of 1.8%, the portfolio with the highest Treynor ratio is:

A. Portfolio 1.

B. Portfolio 2.

C. Portfolio 3.

Question 49

The modified duration of an option-free corporate bond best estimates the percentage price change due to changes in the:

A. horizon yield.

B. yield-to-maturity.

C. benchmark yield curve.

Question 50

An analyst gathers the following information about a portfolio:

	Portfolio Weight	Standard Deviation
Asset 1	25%	12%
Asset 2	75%	16%

If the correlation coefficient between the two assets is 0.75, the standard deviation of the portfolio is closest to:

A. 12.37%.

B. 14.39%.

C. 15.00%.

Question 51

Two investors have utility functions that differ only with regard to the coefficient of risk aversion. Relative to the investor with a higher coefficient of risk aversion, the optimal portfolio for the investor with a lower coefficient of risk aversion will most likely have:

A. a lower level of risk and return.

B. the same level of risk and return.

C. a higher level of risk and return.

Question 52

Which of the following involves a private equity firm introducing leverage to its portfolio company and paying itself a dividend out of the new capital structure?

A. Venture debt

B. Recapitalization

C. Mezzanine loans

Question 53

A European call option has an exercise price of $80 and an option premium of $12. The price of the underlying is $75. The intrinsic value of the option is:

A. $0.

B. $5.

C. $7.

Question 54

Which of the following most likely provides the greatest redemption flexibility?

A. Hedge funds

B. Private equity funds

C. Funds of hedge funds

Question 55

An equity portfolio manager is evaluating her sector allocation strategy for the upcoming year. She expects the global economy to experience a slowdown period for the next two years. Furthermore, she believes that companies will be facing diminishing growth rates with respect to revenues and profits. On the basis of these beliefs, the portfolio manager will most likely overweight:

A. autos.

B. materials.

C. consumer staples.

Question 56

A company's depository receipts most likely trade:

A. like ordinary shares on the investors' local exchanges.

B. in the local currency on the company's local exchange.

C. in the company's currency on investors' local exchanges.

Question 57

An investor opens a margin account with an initial deposit of $5,000. He then purchases 300 shares of a stock at $30 per share using margin. The account requires a maintenance margin of 30%. Ignoring commissions and interest, the price below which the investor will first receive a margin call is closest to:

A. $19.05.

B. $23.08.

C. $23.81.

Question 58

What is the most likely reason why arbitrage will not completely eliminate all pricing discrepancies for derivatives?

A. Transaction costs

B. Inaccurate forecasts

C. Differences in risk aversion

Question 59

Key rate duration measures the sensitivity of a bond's price to a change in:

A. its yield to maturity.

B. its yield to first call.

C. the shape of the benchmark yield curve.

Question 60

The sum of the coupon payments over a year divided by the flat price of a bond is best defined as:

A. true yield.

B. simple yield.

C. current yield.

Question 61

An analyst is concerned that a bond might be downgraded one category by Standard & Poor's and become non-investment grade. The current rating of this bond is most likely:

A. A–.

B. BB–.

C. BBB–.

Question 62

A company that is required to raise equity capital to continue to operate as a going concern is most likely doing so to:

A. purchase long-lived assets.

B. fund capital expansion projects.

C. improve capital adequacy ratios.

Question 63

An investor purchased shares on margin at €50 per share using a leverage ratio of 2.0. If the shares are sold for €70 per share, the return on the investor's equity investment is:

A. 40%.

B. 80%.

C. 180%.

Question 64

With respect to asset-backed securities, which of the following most likely redistributes prepayment risk?

A. Subordination

B. Time tranching

C. Credit tranching

Question 65

An investor whose portfolio lies to the right of the market portfolio on the CML most likely:

A. invested all available funds in the risk-free asset.

B. borrowed funds at the risk-free rate and invested all available funds in the market portfolio.

C. loaned some funds at the risk-free rate and invested the remaining funds in the market portfolio.

Question 66

The security market line plots the expected return of a portfolio against a measure of the portfolio's:

A. total risk.

B. systematic risk.

C. unsystematic risk.

Question 67

Which of the following statements is most accurate? A standard interest rate swap has:

A. a symmetric payoff profile.

B. the principal cash flow exchanged upfront.

C. periodic settlements that occur at the beginning of each period.

Question 68

Which of the following is used by clearinghouses to determine the gain and loss to the parties of a futures contract?

A. Limit up and limit down

B. Margin call

C. Daily settlement

Question 69

Which of the following statements about robo-advisers is most accurate?

A. Robo-advisers charge higher fees than traditional investment advisers

B. Robo-advisers mainly target investors with a high level of investable assets

C. Assets managed by robo-advisers are growing in part due to new entrants such as insurance companies

Question 70

Enterprise value equals the market value of a company's debt and equity reduced by the company's:

A. debt.

B. cash.

C. preferred stock.

Question 71

Which of the following statements is most accurate about a strong-form efficient market?

A. Fundamental analysis can generate abnormal returns

B. Insiders can earn abnormal returns from trading on private information

C. Passive portfolio management should outperform active portfolio management

Question 72

Commercial paper with a face value of $25,000,000 and a term of 120 days was issued 55 days ago. If the current market value is $24,855,000, the implied discount rate assuming a 360-day year is closest to:

A. 3.21%.

B. 3.23%.

C. 3.80%.

Question 73

All else being equal, a bond issuer is most likely to be evaluated as more creditworthy than its peers if it has a:

A. lower debt/EBITDA and a lower EBITDA/interest expense.

B. lower debt/EBITDA and a higher EBITDA/interest expense.

C. higher debt/EBITDA and a lower EBITDA/interest expense.

Question 74

An analyst gathers the following information about a hedge fund's fee structure:

Assets under management (AUM), beginning of period	$80 million
Management fee, based on year-end AUM	2%
Incentive fee	20%

The management and incentive fees are calculated independently. If the hedge fund generates a gross return of 25%, the assets under management after fees at the end of the period are closest to:

A. $94.0 million.

B. $94.4 million.

C. $97.6 million.

Question 75

An analyst gathers the following information about two companies' non-callable, non- convertible perpetual preference shares:

	Preference Share 1	Preference Share 2
Par value	$100	$100
Required rate of return	8%	11%
Annual dividend per share	$6	$8

The value of Preference Share 1 is:

A. less than the value of Preference Share 2.

B. equal to the value of Preference Share 2.

C. greater than the value of Preference Share 2.

Question 76

An analyst gathers the following information:

	Time to Maturity	Yield to Maturity
Bond 1	4 years	3.3%
Bond 2	7 years	5.1%

Based only on this information, the estimated market discount rate for a 6-year bond with similar credit quality is:

A. 3.9%.

B. 4.2%.

C. 4.5%.

Question 77

Which of the following statements best describes changes in the value of a long forward position during its life?

A. As interest rates go down, the value of the position goes up

B. As the time to maturity goes down, the value of the position goes up

C. As the price of the underlying goes up, the value of the position goes up

Question 78

A reason for a company's management to repurchase its shares is to signal a belief that the company's shares are:

A. undervalued.

B. fairly valued.

C. overvalued.

Question 79

An analyst gathers the following estimates about a company:

Earnings retention rate	40%
Growth rate	3%

If the justified forward P/E is 10 based on the Gordon growth model, the required rate of return is:

A. 6%.

B. 7%.

C. 9%.

Question 80

Which of the following is most likely considered an affirmative covenant?

A. A minimum interest coverage ratio

B. A limit on the level of share buybacks

C. What the issuer will do with the proceeds of a bond issue

Question 81

The actions of non-hedging investors impact:

A. commodity supply only.

B. commodity demand only.

C. both commodity supply and commodity demand.

Question 82

Accounting standards and reporting requirements that produce meaningful and timely financial disclosures are most critical for achieving which of the following efficiencies associated with a well-functioning financial system?

A. Allocational

B. Informational

C. Operational

Question 83

At initiation, the price of a forward contract is most likely:

A. less than the value of the forward contract.

B. equal to the value of the forward contract.

C. greater than the value of the forward contract.

Question 84

An asset-backed securitization with a waterfall structure is most likely structured with which type of credit enhancement?

A. Subordination

B. Time tranching

C. Special-purpose entity (SPE)

Question 85

Failed market regulation most likely results in decreased:

A. fraud.

B. economic efficiency.

C. costs for investor participation.

Question 86

Under which of the following alternative investment methods can an investor invest indirectly in alternative assets?

A. Co-investing only

B. Fund investing only

C. Both co-investing and fund investing

Question 87

Information for Stock A and the market appear in the following table:

Standard deviation of Stock A's return	40%
Standard deviation of the market's return	20%
Correlation of Stock A with the market	85%

The beta of Stock A is closest to:

A. 0.43.

B. 1.70.

C. 2.35.

Question 88

Which of the following is most likely a cross-sectional anomaly in financial markets?

A. Value effect

B. Overreaction effect

C. Closed-end fund discount

Question 89

Compared to investing in a single security, the portfolio approach can improve investors' risk–return trade-off by offering:

A. lower expected return with the same overall volatility of returns.

B. the same expected return with lower overall volatility of returns.

C. higher overall volatility of returns for a given level of expected return.

Question 90

In a rising interest rate environment, the effective duration of a putable bond relative to an otherwise identical non-putable bond, will most likely be:

A. lower.

B. the same.

C. higher.